

5-1 Nature of Retail Businesses

Retail businesses sell merchandise that they have purchased from other companies to consumers. Companies selling the merchandise to retailers are called

Objective 1 - Distinguish between the activities and financial statements of service and retail businesses.

suppliers (A company that sells merchandise to retailers.) or **vendors** (A company that sells merchandise to retailers.) . The transactions between suppliers and retailers are called **business-to-business (B2B)** (Transactions between suppliers and retailers.) transactions. Transactions between retailers and consumers are called **business-to-consumer (B2C)** (Transactions between retailers and consumers.) transactions. For example, the selling of a variety of health and beauty products by **Procter & Gamble (PG)** to **Target (TGT)** is a B2B transaction. In contrast, the selling of Procter & Gamble's products such as *Tide* and *Charmin* to customers by Target is a B2C transaction.

The activities of a service business differ from those of a retail business. These differences are reflected in the operating cycles of a service and retail business as well as in their financial statements.